

PESTEL

Johnson, Whittington & Scholes

DEFINITION

The macro-environment scanned across six external forces.

KEY POINTS

- Political, Economic, Social, Technological, Environmental, Legal
- Identifies drivers of change outside the firm's control
- Feeds naturally into industry (Five Forces) analysis
- Use to structure the external context of a study

REFERENCE

Johnson, G., Whittington, R. and Scholes, K. (2017) *Exploring Strategy*. 11th edn. Harlow: Pearson.